# CAPITAL IMPROVEMENT PLAN

Northgate Medical Plaza | Grand Rapids, MI

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| **Property** | Northgate Medical Plaza |
| **Plan Date** | April 22, 2023 |
| **Prepared For** | Vireo Income Properties |
| **Total Plan Budget** | $161,000 |

## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Signage / monument | Energy | 08/02/23 | Q2 2025 | $205,000 | $61,248 | Deferred |
| HVAC replacement | Site | 04/22/26 | Q3 2027 | $255,000 | $85,290 | Complete |
| Landscape / irrigation | Site | 04/10/26 | Q1 2025 | $110,000 | $17,579 | In progress |
| Fence replacement | Energy | 12/27/26 | Q3 2027 | $398,000 | $196,339 | Approved |
| Roof replacement - Bldg B | Site | 12/24/25 | Q4 2026 | $470,000 | $38,883 | In progress |
| Storefront glazing | Site | 09/17/25 | Q3 2027 | $77,000 | $25,416 | Bidding |
| LED lighting retrofit | Site | 03/20/23 | Q4 2027 | $889,000 | $563,900 | Deferred |
| Fence replacement | Energy | 12/31/23 | Q3 2026 | $887,000 | $89,316 | In progress |
| Landscape / irrigation | Life Safety | 12/13/26 | Q1 2025 | $355,000 | $113,324 | Approved |
| Pool resurfacing | Site | 12/02/24 | Q3 2027 | $426,000 | $425,608 | Deferred |
| Sewer line repair | Energy | 05/14/24 | Q1 2025 | $378,000 | $253,670 | Deferred |
| HVAC replacement | Site | 06/01/25 | Q1 2025 | $735,000 | $404,758 | Approved |
| Signage / monument | Building | 04/02/23 | Q2 2026 | $620,000 | $50,433 | Bidding |
| Amenity renovation | Building | 06/09/25 | Q1 2026 | $437,000 | $101,546 | Approved |
| HVAC replacement | Interior | 10/03/24 | Q3 2025 | $804,000 | $749,255 | Complete |
| Exterior paint | Interior | 06/05/25 | Q3 2026 | $172,000 | $134,227 | In progress |
| Landscape / irrigation | Site | 01/21/24 | Q2 2027 | $854,000 | $525,695 | Deferred |
| Lobby renovation | Interior | 08/19/26 | Q4 2025 | $127,000 | $46,108 | Approved |
| Elevator modernization | Site | 09/03/26 | Q1 2026 | $719,000 | $308,807 | Deferred |
| Door hardware | Life Safety | 05/14/23 | Q1 2026 | $420,000 | $440,361 | Approved |
| Amenity renovation | Building | 10/07/26 | Q3 2027 | $654,000 | $461,022 | Bidding |
| Fire alarm panel upgrade | Interior | 09/05/23 | Q4 2026 | $391,000 | $153,556 | Approved |
| Unit interior upgrades | Energy | 01/09/26 | Q2 2025 | $369,000 | $52,754 | Approved |

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| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Storefront glazing | Energy | 01/01/25 | Q3 2027 | $387,000 | $368,408 | In progress |
| Lobby renovation | Interior | 06/18/23 | Q3 2026 | $487,000 | $239,462 | Approved |
| Signage / monument | Site | 09/10/23 | Q4 2027 | $315,000 | $116,526 | Approved |
| Water heater replacement | Building | 04/16/23 | Q2 2027 | $432,000 | $158,384 | Bidding |
| Door hardware | Site | 04/25/24 | Q4 2026 | $691,000 | $307,373 | Complete |
| Pool resurfacing | Building | 02/01/24 | Q1 2026 | $718,000 | $571,526 | In progress |
| Exterior paint | Energy | 01/05/24 | Q1 2027 | $359,000 | $79,438 | Deferred |
| Fence replacement | Life Safety | 03/23/25 | Q2 2026 | $96,000 | $39,296 | Deferred |
| LED lighting retrofit | Building | 11/06/23 | Q2 2026 | $606,000 | $510,384 | Complete |
| Exterior paint | Building | 02/22/24 | Q1 2025 | $220,000 | $24,901 | Bidding |
| Sewer line repair | Life Safety | 07/13/26 | Q1 2026 | $896,000 | $343,575 | Complete |
| Elevator modernization | Interior | 02/18/26 | Q3 2025 | $855,000 | $366,324 | Bidding |
| Unit interior upgrades | Interior | 06/02/23 | Q2 2025 | $94,000 | $78,299 | Bidding |
| Security camera upgrade | Energy | 10/01/24 | Q1 2027 | $623,000 | $82,012 | Approved |
| LED lighting retrofit | Life Safety | 05/08/26 | Q1 2026 | $131,000 | $111,537 | Complete |
| Unit interior upgrades | Life Safety | 02/15/25 | Q1 2025 | $594,000 | $398,354 | Complete |
| Pool resurfacing | Interior | 09/15/24 | Q4 2026 | $439,000 | $315,089 | In progress |
| Security camera upgrade | Energy | 04/17/24 | Q3 2026 | $341,000 | $244,520 | Deferred |
| Lobby renovation | Site | 10/03/25 | Q4 2026 | $660,000 | $373,725 | Complete |
| Security camera upgrade | Interior | 07/04/25 | Q1 2026 | $317,000 | $285,017 | In progress |
| Fire alarm panel upgrade | Interior | 03/26/23 | Q1 2026 | $80,000 | $58,496 | Bidding |
| Elevator modernization | Site | 11/17/24 | Q4 2026 | $244,000 | $132,669 | Deferred |
| Unit interior upgrades | Energy | 02/19/24 | Q4 2025 | $435,000 | $54,866 | Approved |
| ADA compliance | Interior | 05/11/26 | Q4 2025 | $352,000 | $273,033 | Deferred |
| Fire alarm panel upgrade | Interior | 02/24/25 | Q1 2025 | $397,000 | $268,520 | Complete |
| Parking lot resurfacing | Life Safety | 08/24/24 | Q3 2026 | $897,000 | $281,835 | Bidding |
| Door hardware | Energy | 08/16/23 | Q1 2027 | $154,000 | $161,515 | Approved |
| Signage / monument | Interior | 11/26/23 | Q3 2027 | $752,000 | $168,726 | Deferred |
| Water heater replacement | Life Safety | 10/30/25 | Q2 2025 | $455,000 | $282,091 | In progress |
| Pool resurfacing | Interior | 06/25/26 | Q3 2025 | $609,000 | $540,292 | Complete |
| ADA compliance | Energy | 03/20/24 | Q3 2027 | $414,000 | $433,722 | In progress |
| Water heater replacement | Life Safety | 09/18/26 | Q2 2027 | $567,000 | $541,889 | Bidding |
| Fire alarm panel upgrade | Energy | 04/08/26 | Q2 2025 | $891,000 | $281,880 | Deferred |
| Landscape / irrigation | Site | 02/02/25 | Q4 2025 | $567,000 | $229,603 | Deferred |
| Pool resurfacing | Site | 01/10/23 | Q2 2025 | $305,000 | $265,717 | Complete |
| Fire alarm panel upgrade | Interior | 01/19/24 | Q2 2025 | $636,000 | $665,185 | Deferred |
| Unit interior upgrades | Interior | 08/02/24 | Q2 2026 | $387,000 | $266,769 | Approved |
| ADA compliance | Energy | 09/12/25 | Q1 2027 | $767,000 | $20,038 | Bidding |
| Landscape / irrigation | Life Safety | 08/28/25 | Q3 2027 | $700,000 | $151,132 | Approved |
| Pool resurfacing | Energy | 07/15/25 | Q4 2026 | $853,000 | $790,423 | Complete |
| Pool resurfacing | Site | 12/04/26 | Q3 2027 | $812,000 | $1,569 | In progress |
| Water heater replacement | Site | 09/18/25 | Q1 2025 | $428,000 | $112,503 | In progress |

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## Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $449,000. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $14,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

## Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. Projected levered IRR is 11.7% with an equity multiple of 1.8x over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Projected levered IRR is 12.9% with an equity multiple of 1.45x over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital.

## Observed Conditions

Elevators were last modernized 4 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $42,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

## Business Plan Progress

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Projected levered IRR is 10.4% with an equity multiple of 1.4x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Patient parking and ADA-compliant access are provided at a ratio of 48 spaces per 1,000 square feet. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

## Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $294,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 8 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Fence replacement | Energy | 01/28/24 | Q2 2025 | $658,000 | $182,085 | Complete |
| Exterior paint | Interior | 03/07/26 | Q4 2025 | $20,000 | $3,244 | Deferred |
| Lobby renovation | Building | 09/22/26 | Q2 2026 | $720,000 | $76,637 | In progress |
| Security camera upgrade | Interior | 11/21/26 | Q4 2027 | $31,000 | $16,186 | Deferred |
| Security camera upgrade | Life Safety | 10/26/26 | Q1 2027 | $508,000 | $472,380 | Approved |
| Pool resurfacing | Building | 04/23/25 | Q4 2027 | $897,000 | $263,087 | In progress |
| Water heater replacement | Energy | 10/08/26 | Q1 2025 | $781,000 | $808,219 | Approved |
| Signage / monument | Life Safety | 04/13/26 | Q4 2025 | $820,000 | $174,970 | Deferred |
| Storefront glazing | Interior | 01/27/23 | Q2 2025 | $895,000 | $138,198 | In progress |
| Elevator modernization | Interior | 07/06/25 | Q2 2027 | $284,000 | $158,946 | Deferred |
| Parking lot resurfacing | Site | 12/18/25 | Q4 2025 | $67,000 | $16,170 | In progress |
| Elevator modernization | Site | 04/15/24 | Q1 2025 | $78,000 | $14,622 | Bidding |
| Sewer line repair | Interior | 06/01/23 | Q2 2026 | $115,000 | $89,205 | In progress |
| Elevator modernization | Life Safety | 06/24/23 | Q4 2027 | $56,000 | $25,905 | In progress |
| Pool resurfacing | Life Safety | 06/12/24 | Q4 2026 | $879,000 | $192,731 | In progress |
| Lobby renovation | Building | 04/22/26 | Q2 2026 | $765,000 | $797,685 | Complete |
| Exterior paint | Interior | 03/21/26 | Q4 2025 | $118,000 | $27,127 | Approved |
| Water heater replacement | Interior | 06/23/24 | Q1 2025 | $834,000 | $825,653 | In progress |
| Parking lot resurfacing | Life Safety | 09/12/26 | Q3 2026 | $108,000 | $12,249 | In progress |
| Landscape / irrigation | Life Safety | 06/27/25 | Q4 2027 | $746,000 | $188,705 | Complete |
| HVAC replacement | Interior | 06/09/26 | Q2 2026 | $158,000 | $151,924 | Approved |
| Lobby renovation | Building | 07/26/23 | Q1 2027 | $173,000 | $171,017 | Complete |
| HVAC replacement | Life Safety | 11/25/25 | Q3 2025 | $231,000 | $156,657 | Deferred |
| Exterior paint | Site | 04/20/23 | Q1 2027 | $315,000 | $89,072 | In progress |
| Elevator modernization | Life Safety | 03/10/25 | Q1 2025 | $439,000 | $78,117 | Complete |
| Fire alarm panel upgrade | Life Safety | 02/03/24 | Q3 2027 | $140,000 | $129,987 | Deferred |
| Roof replacement - Bldg D | Site | 06/28/26 | Q2 2026 | $148,000 | $61,697 | In progress |
| Parking lot resurfacing | Energy | 09/01/24 | Q3 2025 | $638,000 | $612,844 | In progress |
| Amenity renovation | Building | 10/19/26 | Q3 2026 | $845,000 | $223,089 | Bidding |
| ADA compliance | Life Safety | 03/14/24 | Q3 2027 | $618,000 | $20,355 | Approved |
| Landscape / irrigation | Interior | 05/09/23 | Q1 2027 | $508,000 | $125,524 | Deferred |
| HVAC replacement | Energy | 12/05/23 | Q1 2025 | $614,000 | $310,660 | Approved |
| Amenity renovation | Building | 01/06/25 | Q3 2025 | $539,000 | $137,722 | Complete |
| Storefront glazing | Energy | 05/31/23 | Q2 2026 | $848,000 | $808,314 | Complete |
| Sewer line repair | Energy | 11/03/23 | Q1 2025 | $585,000 | $609,303 | Approved |
| ADA compliance | Life Safety | 06/12/23 | Q4 2026 | $313,000 | $66,884 | Bidding |
| HVAC replacement | Life Safety | 07/27/25 | Q1 2026 | $187,000 | $82,452 | Complete |
| Unit interior upgrades | Life Safety | 02/11/23 | Q2 2025 | $256,000 | $198,847 | Deferred |
| Unit interior upgrades | Energy | 06/28/25 | Q2 2026 | $210,000 | $142,696 | Approved |
| LED lighting retrofit | Building | 07/17/25 | Q3 2025 | $145,000 | $59,638 | Bidding |

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# Summary and Notes

## Operating Performance

Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Operating expenses totaled $264,000 or approximately 8.02 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 25 spaces per 1,000 square feet.

Operating expenses totaled $106,000 or approximately 27.59 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 21 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.95% reflects the in-place income and the stabilized occupancy assumption.

## Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Patient parking and ADA-compliant access are provided at a ratio of 38 spaces per 1,000 square feet. Collections for the period were 96.6% of billed charges, with bad debt of 3.7% of gross potential income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Service requests are tracked through a work-order system with an average completion time of 18 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Service requests are tracked through a work-order system with an average completion time of 25 hours. Collections for the period were 89.6% of billed charges, with bad debt of 7.5% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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